

Retail Equity Research

Pondy Oxides & Chemicals Ltd.

Sector: Non Ferrous Metals

BUY

12th November, 2025

Key Changes	Target	▲	Rating	●	Earnings	▲
Stock Type	Bloomberg	Sensex	NSE Code	BSE Code	Time Frame	
Small Cap	POCL:IN	N/A	POCL	532626	12 Months	

Target	Rs. 980
CMP	Rs. 812
Return	+21%

Data as of: 12-November-2025, 15:10hrs

Company Data	
Market Cap (Rs.cr)	4,720
52 Week High — Low (Rs.)	985 - 430
Enterprise Value (Rs. cr)	5,010
Outstanding Shares (cr)	5.8
Free Float (%)	54.2
Dividend Yield (%)	0.3
6m average volume (cr)	0.2
Beta	0.9
Face value (Rs.)	10.0

Price Performance	3 Month	6 Month	1 Year
Absolute Return	14.0%	28.5%	61.2%
Absolute Sensex	2.1%	6.4%	9.8%
Relative Return	11.9%	22.1%	51.4%

*over or under performance to benchmark index

Y.E March (cr)	FY25A	FY26E
Sales	3,120	3,690
Growth (%)	12.4	18.3
EBITDA	142	188
EBITDA Margin (%)	4.5	5.1
PAT Adjusted	88	120
Growth (%)	18.0	36.4
Adjusted EPS	15.2	20.7
Growth (%)	18.0	36.4
P/E	17.8	13.1
P/B	2.6	2.2
EV/EBITDA	9.1	7.2
ROE (%)	15.4	17.9
D/E	0.5	0.4

Operational Metrics		
Lead volumes	42,300 MT	+16.8% YoY
Capacity utilisation	86%	+540 bps YoY
Aluminium alloy share	18% of revenue	+700 bps YoY
Receivable days (DSO)	38 days	-4 days YoY
Cash & equivalents	Rs.212 cr	N/A
Net debt / equity	0.4x	-0.1x YoY
Credit rating	A/Stable/A1	Reaffirmed

Capacity Profile	Installed	U/C	Pipeline
Lead recycling	132,000 MTPA	48,000	N/A
Aluminium alloys	24,000 MTPA	12,000	18,000
Plastic additives	9,000 MTPA	N/A	N/A

Recycling capacity ramp-up drives volume growth

Pondy Oxides & Chemicals Ltd. is one of India's largest lead recyclers, producing pure lead, lead alloys and plastic additives, primarily serving the automotive and industrial battery industry.

- Revenue grew 18.2% YoY in Q2FY26 on higher lead volumes and firm realisations.
- EBITDA margin expanded ~90bps YoY to 5.1% as the aluminium alloy line scaled up.
- Management guided to commissioning the new recycling capacity by Q4FY26.

Outlook & Valuation

We remain positive on the structural recycling opportunity and the company's capacity expansion. At the current price the stock trades below its historical average multiple; we maintain BUY with a target price of Rs. 980.

Quarterly Financials Consolidated

Rs.cr	Q2FY26	Q2FY25	YoY Growth (%)	Q1FY26	QoQ Growth (%)
Sales	942	797	18.2	889	6.0
EBITDA	48	33	45.5	42	14.3
Margin (%)	5.1	4.2	90bps	4.7	40bps
Rep. PAT	31	N/A	N/A	27	14.8
Adj. EPS (Rs)	5.30	N/A	N/A	4.60	15.2

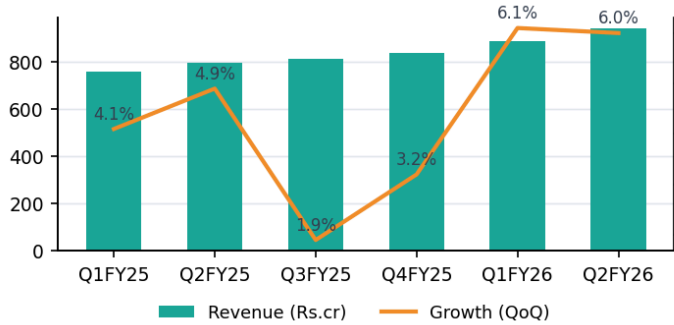
Investment Rationale

- Volume-led growth: lead throughput up 16.8% YoY with utilisation at 86%.
- Margin expansion as the higher-value aluminium alloy line scales.
- Diversification beyond lead reduces single-commodity price exposure.
- Balance sheet remains comfortable (net D/E 0.4x) to fund the capacity ramp.

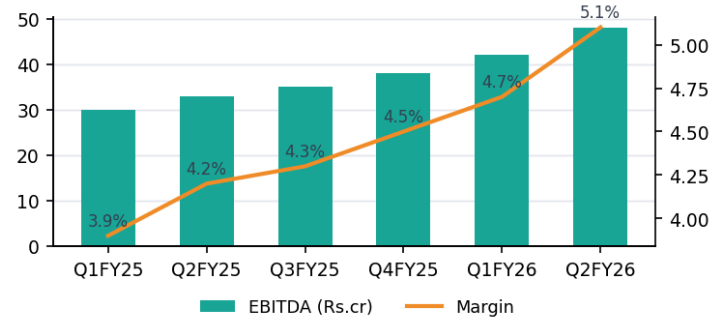
Key highlights

- The company is expanding into aluminium and plastic recycling to diversify beyond lead, targeting a more balanced revenue mix over the next two years.
- Working capital intensity remains the key monitorable as volumes scale; management expects the cash conversion cycle to stay within historical bands.

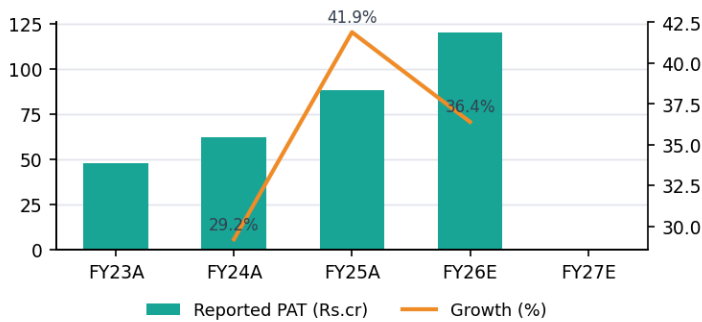
Revenue



EBITDA



Reported PAT



Key Concerns & Risks

- Lead price volatility can compress spreads within a quarter.
- Working-capital intensity rises as volumes and new lines scale.
- Execution risk on the Q4FY26 recycling-line commissioning timeline.
- Regulatory/environmental compliance costs for recycling operations.

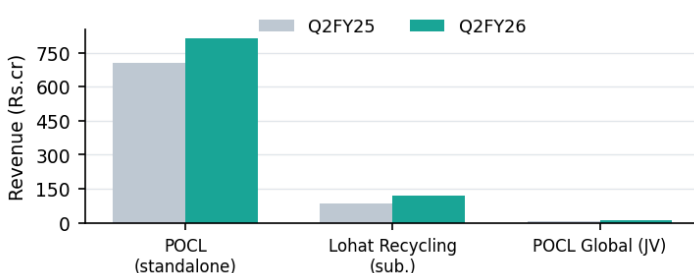
Entity-wise Financials (Rs.cr)

Entity	Revenue		EBITDA	
	Q2FY26	Q2FY25	Q2FY26	Q2FY25
POCL (standalone)	812	705	39	27
Lohat Recycling (sub.)	118	84	7	5
POCL Global (JV)	12	8	2	1

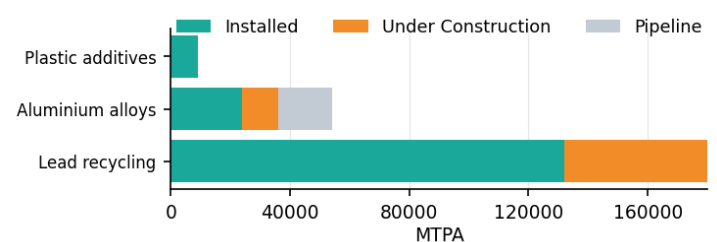
Guidance & Growth Roadmap

- Commission the new 48,000 MTPA lead recycling line by Q4FY26.
- Scale aluminium alloys to ~25% of revenue over FY26-FY27.
- Hold net debt/equity below 0.5x through the expansion phase.

Entity-wise Revenue



Capacity Roadmap



Consolidated Financials

Profit & Loss

Y.E March (Rs. Cr)	FY23A	FY24A	FY25A	FY26E	FY27E
Sales	2,470	2,776	3,120	3,690	-
% change	-	12.4	12.4	18.3	-
EBITDA	96	118	142	188	-
EBIT	78	96	118	158	-
PBT	64	80	101	140	-
Reported PAT	48	62	88	120	-
Adj EPS (Rs.)	8.3	10.7	15.2	20.7	-

Cashflow

Not disclosed in source document.

Balance Sheet

Not disclosed in source document.

Ratio

Y.E March	FY23A	FY24A	FY25A	FY26E	FY27E
EBITDA margin (%)	3.9	4.3	4.5	5.1	-
ROE (%)	12.1	13.8	15.4	17.9	-
P/E (x)	-	-	17.8	13.1	-

Recommendation Summary - (last 3 years)

Dates	Rating	Target
10-Nov-24	BUY	520
14-May-25	BUY	760
12-Nov-25	BUY	980

Investment Rating Criteria

Ratings	Large caps	Midcaps	Small Caps
Buy	Upside is above 10%	Upside is above 15%	Upside is above 20%
Accumulate	-	Upside is between 10%-15%	Upside is between 10%-20%
Hold	Upside is between 0% - 10%	Upside is between 0%-10%	Upside is between 0%-10%
Reduce/sell	Downside is more than 0%	Downside is more than 0%	Downside is more than 0%

Definition: **Buy:** Acquire at CMP with the target mentioned in the research note; **Accumulate:** Partial buying or to accumulate as CMP dips in the future; **Hold:** Hold the stock with the expected target mentioned in the note.; **Reduce:** Reduce your exposure to the stock due to limited upside.; **Sell:** Exit from the stock; **Not rated/Neutral:** The analyst has no investment opinion on the stock.

Symbols definition: ▲ Upgrade ● No Change ▼ Downgrade

To satisfy regulatory requirements, we attribute 'Accumulate' as Buy and 'Reduce' as Sell.

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